

Have You Noticed Which Sector is Largest in the S&P 500, Again?

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Introductory Comments

This month's commentary will traverse a slightly different path from that of most traditional manager letters. Rather than detailing the contextual or quantitative basis for the initiation of a new position, or the framework for an overall sector or industry exposure, we will highlight an industry and companies within that industry that we choose not to invest in. Successful investing requires not only the selection of good investments, but the avoidance of poor ones.

Our investors know that we often view the world very differently than do others. At the moment, many arguments are being disseminated that describe the technology sector as being undervalued. We humbly disagree with this broad characterization. Yet many will point to the low P/E ratios at which many technology companies trade, the large quantity of cash on their balance sheets, and the potential for a sharp upward corporate and consumer technology spending pattern after a few years of retrenchment due to the economic crisis and recession.

On balance, the P/E ratios of many of the largest technology companies are indeed low, at least by historical standards. For instance, the P/E ratios of such companies based on the 2011 consensus earnings estimates will be observed in the table below. A decade ago, few within the consensus could have imagined that the valuations of these companies could reach such low levels. Ordinarily, the valuation range here of 8x-15x would be viewed as fertile ground for the value investor, as most of these companies have well-established businesses with strong global franchises.

Company	2011 P/E
Oracle	14.8x
Cisco	12.2x
IBM	11.5x
Intel	11.4x
Microsoft	11.0x
Dell	9.8x
Hewlett-Packard	8.1x

Source: Reuters

What is particularly interesting, though, is that the market appears to be discounting some rather extreme negative earnings outcomes for these companies and for the sector in general. Why? It is certainly not unreasonable to believe that investors have begun to recognize the high rates of attrition and obsolescence that plague the products of many technology companies. In other words, companies that manufacture products with short product life cycles have distinct earnings sustainability disadvantages relative to those with long product life cycles. Valuations should ultimately reflect this all-important analytical component.

With respect to the bottom range of the above list, or in reference to Intel, Microsoft, Dell, and Hewlett-Packard, one conceivable reason for a low valuation is the rise of Apple. Apple's market capitalization of nearly \$300 billion now eclipses that of Microsoft. This is truly a remarkable achievement. Over the last several years, Apple has introduced products that have proven to be very disruptive to its competition, and to parts of the technology sector in general. In our view, the current and potential magnitude of success of Apple has negative implications for several dominant technology companies, which in part frames our decision to avoid investment in such companies.

Historically, our aversion to technology stocks was based on unrealistic consensus growth expectations demonstrated by egregiously high valuations. Now, while valuation may be casually viewed as cheap, the underlying problem of many of these businesses still remains, which is an ever-shortening product life cycle. Apple, for its part, is in a position to inflict a certain degree of damage on some of the world's largest and most well-established technology companies. We bring this to the attention of our investors, as it clearly impacts the construction of our equity portfolios.

Apple's Influence on the General Computer Manufacturing Industry

Computer shipments in the U.S. in the third quarter of 2010 were about 17.6 million units. The largest suppliers were Hewlett Packard, at 4.4 million units, and Dell, at 4.1 million. Interestingly enough, Apple shipped 1.8 million units, giving it over 10% of the U.S. computer market. One type of disruption that might occur in this market would be if Apple were to make an impression upon the business market, as opposed to the home market in which it is the obvious favorite. If that preference were to change—and it might—it could be very disruptive for Hewlett Packard and Dell, as well as for Acer and Toshiba.

	<u>Third Quarter 2010</u>	
	U.S. Computer Shipments (units)	U.S. Market Share
HP	4,459,500	25.3%
Dell	4,188,700	23.8%
Acer	1,848,500	10.5%
Apple	1,831,600	10.4%
Toshiba	1,629,100	9.3%
Other	3,650,800	20.7%
Total	17,608,200	100.0%

Source: Gartner Group

Is the iPad a Disruptive Technology?

Similarly, beyond the personal computer market, the recent introduction of the iPad by Apple provokes some very intriguing considerations. The iPad is innovative in the sense that it is a small object that can be held and carried very easily, and on which one can perform all the basic activities typically done on a computer, including send and receive email, search the internet, shop online, or download and view entertainment. It is very important to understand that most of the computer users in the world are innumerate and computer illiterate; therefore, they generally use very little of the processing power available in the average computer. The Intel Pentium microprocessor has much more power and versatility than a mainframe computer had in the 1970s. In other words, it is a very powerful machine whose capabilities are beyond most people's computing needs.

In the iPad, Apple has designed a lightweight, relatively low cost machine that enables a typical individual to perform all the functions they would normally engage in on a computer. This product has begun to cannibalize notebook sales. Laptops and notebooks are clearly one of the most profitable areas of computer manufacturing and, in terms of unit value, certainly one of the most important. There are a number of points to be made about that situation. An industry report that was picked up in a recent issue of *Fortune* magazine says that notebook sales growth is now negative. In the month of August 2010, year-over-year unit growth for notebooks manifested a negative 4% rate.

U.S. Computer Notebook Year-on-Year Unit Growth

July 2009	29%	
August 2009	32%	
September 2009	33%	
October 2009	27%	
November 2009	61%	
December 2009	70%	
January 2010	29%	Apple iPad Announcement (1/27/2010)
February 2010	35%	
March 2010	21%	
April 2010	11%	iPad Launched (4/3/2010)
May 2010	8%	
June 2010	5%	
July 2010	2%	
August 2010	-4%	

Source: Yarrow, Jay. "The iPad Effect: Notebook Sales Growth Now Negative." Business Insider SAI. 17 Sept. 2010 <<http://www.businessinsider.com/netbook-sales-negative-ipad-2010-9>>. Elmer-DeWitt, Philip. "Notebook sales growth goes negative. Can we blame the iPad yet?" 17 September 2010 <<http://tech.fortune.cnn.com>>. Data: Huberty, Katy. Morgan Stanley.

Brian Dunn, chairman of Best Buy, said in a recent interview by *The Wall Street Journal* that in his estimation the iPad had cannibalized sales from laptop PCs by as much as 50%.¹ We do not have good figures for how many iPads have been sold since inception, but a good estimate worldwide might be no more than nine to ten million, which is a very small number in the framework of personal computers and laptops. There are clearly hundreds of millions of laptops in existence and maybe not even far from a billion.

Various companies are devising their answers to the iPad. Dell, Samsung, Research in Motion, Acer, Lenovo and even, amazingly enough, Cisco have all either released their answer to the iPad or propose to do so in the next several months. The table below lists the release dates. The product life cycle, at least as far as that type of computer is concerned, is likely to be as brief and as furiously competitive as it ever has been. Therefore, the entire computer industry is actually an area that may be more appropriate for short sellers rather than long equity managers.

Existing and Proposed Tablet Computers			
<u>Maker</u>	<u>Name</u>	<u>Release</u>	<u>Screen Size (inches)</u>
Apple	iPad	April 2010	9.7
Dell	Streak	August 2010	5.0
Samsung	Galaxy Tab	October 2010	7.0
RIM†	N/A*	4th Quarter 2010	7.0
Acer	N/A*	4th Quarter 2010	7.0
ASUS	Eee Pad	1st Quarter 2011	10 & 12
Lenovo	LePad	1st Quarter 2011	10.1
Cisco	Cius	1st Quarter 2011	7.0

Source: Dvorak, Phred. "RIM Readies Its Answer to iPad." *Wall Street Journal Online*. 21 September 2010 <<http://online.wsj.com>

†Not confirmed by RIM

*Not available

According to the research firm Gartner Inc., worldwide laptop sales in the first quarter of 2010 were 49.4 million units and the average selling price during that period was \$732. The iPad is lighter, more versatile and sells below that price. This challenge is not one that the laptop manufacturers are likely to counter by a mere lowering of price; it is going to require a whole new cycle of product innovation.

¹ Whitney, Lance. "Best Buy: iPad cutting into laptop sales." cnet news. 17, September 2010 <http://news.cnet.com/8301-13579_3-20016818-37.html>.

Potential Collateral Damage Beyond the Computer Manufacturing Industry

Let us consider the following suppositions, particularly with respect to Microsoft. If the business computer market were ever to shift its preference to Apple, Microsoft would be at a clear disadvantage, as Windows dominates the operating system market with a 91% share². If that ratio were to change in favor of Apple, irrespective of the current low P/E ratio of Microsoft, its earnings could be in jeopardy, or at least its operating margins, which are extremely high.

Similarly, if there really were a large tablet computer industry, and there very well could be in 24 months, given the early success of the iPad, this again has major implications for the Microsoft franchise. Although Windows is the operating system for virtually all the personal computers manufactured in the world currently, it will not likely be the operating system for tablet computers that actually may dominate several years hence. Thus, after decades of dominance and a near monopoly in the computer software market, the durability of the Windows product life cycle may well be in jeopardy.

The rise of the iPad also has ramifications for the microprocessor industry. Over the last few years, Apple has been acquiring various chip manufacturing companies in an effort to internalize the design of its own microprocessors. Currently, the iPad utilizes the company's A4 chip. The Intel microprocessor is the microprocessor found in many personal computers. Advanced Micro Devices also manufactures microprocessors, even though its market share is considerably lower. Nevertheless, both companies' microprocessors will not be used in the iPad. In essence, the global chip manufacturing industry is in the same predicament as are personal computer software companies.

Along these lines, Seagate Technology, which is a dominant hard drive manufacturer, produces drives that are so capacious that it is preposterous to assume that the average human being can make use of the storage capacity currently provided. Moreover, even a software virus company such as Symantec might be impacted, because if tablet computers do not really need a lot of data storage space, the opportunities for importing a virus may be much fewer. In this way, perhaps antivirus software will not play the role it currently plays in computers.

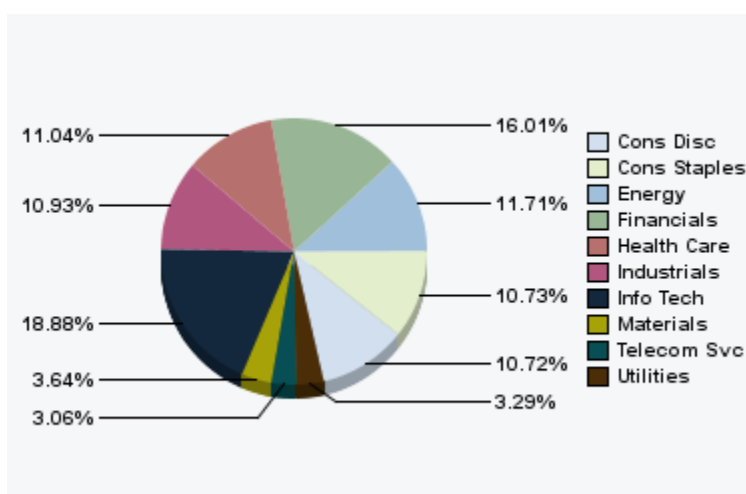
Concluding Remarks

Two years ago, it was often remarked by investors - as supporting evidence for an inevitable decline in the price of financial service stocks - that these companies had grown to become the largest sector represented in the S&P 500. While that decline indeed occurred, would the reader know the largest industry comprising the S&P 500 today? Perhaps not. It is information technology. According to Standard & Poor's, information technology constitutes 18.9% of the S&P 500 index, followed by financials at 16%. Thus, our views concerning technology companies are typically opposite to that of the consensus.

² Source: NETMARKETSHARE

Moreover, our avoidance of investments in technology stocks has broader implications as it applies to portfolio construction that is based on traditional industry allocation wisdom.

S&P 500 Sector Breakdown (as of 12/10/2010)



Source: Standard and Poor's

Having put in proper context the importance of the technology sector to equity investing in general, the preceding remarks concerning Apple might now be considered in the following manner. The aggregate market capitalization of the companies mentioned herein as potential casualties of the rise of Apple (i.e., Dell, Hewlett-Packard, Microsoft, etc) is \$533 billion. The total market capitalization of all Nasdaq-listed companies is \$4.3 trillion.³ Hence, based merely on the small sample set of companies studied presently, stocks representing over 12% of the Nasdaq index market capitalization may well face some serious competitive issues in the months and years to come. Yet, Apple is not the only risk. Technology companies in general, as noted previously, are subject to high rates of product attrition.

One other interesting data point should be noted. As measured through the iShares S&P 500 Index Fund (US: IVV), the total return of Apple was +47.7% year-to-date through November 30th.⁴ At an average 2.25% weight in the index, Apple contributed 0.88% of the total index return of +7.75%. Ergo, 11.4% of the S&P 500 total return this year has been attributed to the stock performance of Apple. Clearly, an analysis of the U.S. equity market performance this year is inseparable from an analysis of Apple. More intuitively, given this data, how can a manager of large capitalization U.S. equities who is undeniably beholden to the S&P 500 for performance benchmarking purposes justify not owning Apple? It is a risk that many investors appear unwilling to undertake presently.

³ Source: NasdaqOMX; as of 12/8/10

⁴ Source: FactSet

It is stressed that we are not attempting to forecast a decline in the overall Nasdaq index. If Apple is indeed successful with the iPad and future products, whatever earnings and subsequent market capitalization is extracted from its competitors could well be gained by Apple. Our remarks are merely designed to outline our views on the technology sector, and how we construct an equity portfolio as a result.

This brings us to the conclusion that many readers may surmise: as a general rule, we do not invest in technology companies because they are inherently bad businesses. This is not so. Our portfolios actually do have a healthy exposure to technology, but this exposure does not fall within the traditional classification system.

For instance, in certain equity portfolios, we own MasterCard.⁵ MasterCard is generally considered a financial service company. Yet, is it really? MasterCard owns the payment processing network on which billions of transactions occur. It undertakes no credit risk, as it does not lend to consumers. It is merely a technology platform for financial activity. And the product life cycle, given its duopoly position with Visa, is quite long.

Similarly, what about our positions in Hong Kong Exchanges & Clearing or the CME Group, or any securities exchange for that matter, all of which, again, are considered financial companies?⁶ An exchange is merely a platform for trading activity. It incurs no risk on either side of the trade. It is merely a facilitator by way of a technology platform.

Thus, we are not averse to technology investments. We simply choose to invest in this sector through non-traditional avenues, particularly in those companies with long product lifecycles and sustainable competitive advantages. The vast majority of the Nasdaq-listed companies fail miserably to meet these criteria. While we may be a minority in this regard, the investment record of the majority will be measured over the coming years. It will be interesting to watch.

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⁵ MasterCard represented a 2.5% holding in Core Value as of 12/7/2010

⁶ HKEX and CME represented 4.3% and 2.9% holdings in Core Value as of 12/7/10